CHINA MUSINGS

Like the story, not the indexes; Stay Overweight on A shares but lower H to Marketweight

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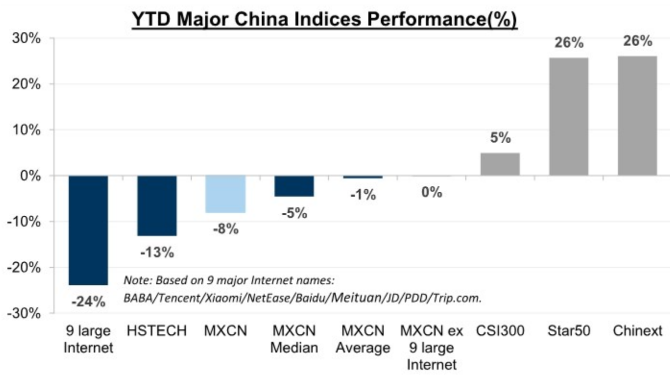
- **MSCI China has lagged its major DM and North Asian peers** ytd, losing 8% vs +27% for MXAPJ, the largest 5-month underperformance since 2002.
- But, **return dispersion has been significant** across indexes and themes, with CSI300 leading MXCN by 13pp and ChiNext outperforming HSTECH by 40pp ytd.
- **The great divergence could be explained by 4 factors**, namely index construction, the Soft vs. Hard Tech divide, policy, and growth delivery.
- Investors are rewarding profit growth but **Chinese earnings have been sluggish** (-7% in 1Q26), and have disappointed market consensus for 6 consecutive years.
- Top-down, **signs of the long-awaited earnings inflection** have emerged but continued subsidy losses and AI investment outlays **have pushed back the recovery path for the Internet sector.**
- We now forecast 8%/12% EPS growth for MSCI China (from 12%/14%) on a moderately lower fair PE multiple (13x to 12x), with our refreshed 85 index target **implying 11% 12m upside for MSCI China.**
- China A has outperformed regionally in Sharpe ratio terms, **and we stay Overweight** on its improving growth outlook, conducive liquidity conditions, diversification benefits, and exposures to Hard Tech AI proxies.
- **We lower H shares to MW as the "opportunity cost" for staying OW has gone up.** We'd prefer to engage via specific alpha themes or to revisit the beta case when our expected profit growth trajectory takes hold.
- **AI is still a "game changer"** and China is an integral part of the global AI universe, accounting for 10%/16% of AI-related market cap/revenue worldwide. But, China AI equities are substantially under-owned by international investors.
- Within China AI, we stay **strategically positive on the Power, Infrastructure, Semi, and Physical AI cohorts** given their strong cyclical growth prospects, policy support, and China's competitive edges in the manufacturing segments.
- **Alpha over beta remains our core investment principle**. We feel most positive about our **Select AI Portfolio**, **15th FYP Portfolio,** and the **Shareholders Return theme,** but would re-engage the POE trade later this year.

1. Decent stock returns but weak index performance. Since the DeepSeek moment in Jan 2025, US$3.8tn of market cap has been created in our China AI equity universe, of which US$3.5tn has come organically from existing firms and US$0.3tn from new IPOs. But, the gains are unevenly distributed, with AI (Hard Tech) driving 85% of the market cap appreciation and the rest from Soft Tech, encompassing Internet, platform companies, and software firms. **The return divergence is manifesting along different dimensions of the equity market**, as evidenced by, on a ytd basis, the 3pp spread between MSCI China cap-weighted (-8%) and median stock returns (-5%), the 40pp of outperformance of ChiNext over HSTECH, and the 65pp alpha of Infrastructure over Applications in our defined AI universe.

Exhibit 1: Signficant return disparity across China indexes and themes so far this year



Source: MSCI, Factset, Goldman Sachs Global Investment Research

2. Drivers of the great divergence. First, index construction matters. For instance, 35% of MSCI China index cap (and index earnings weight) is attributable to 9 large Internet companies but many **outperformers are either not included in the index** and/or subject to a 20% inclusion factor limit (for A shares). Second, Hard Tech equities globally (i.e. AI enablers) have rallied hard on massive capex by US hyperscalers, but Soft Tech stocks, most of which are either **AI capex sponsors/financiers or AI adopters have lagged** on cashflows or earnings concerns. Third, Chinese policymakers have embraced AI as a national development priority, but the **policy support appears skewed to hardware,** semi, models, and high-tech manufacturing than software per our textual analysis of the 15th FYP document. Lastly, most **Hard Tech stocks have delivered strong top-line and profit growth** but large-scaled Internet companies have continued to struggle to grow their bottom-line. Overall, our multi-regression analysis shows that these factors have collectively explained 40% of the ytd excess returns for individual names in our defined Chinese AI universe.

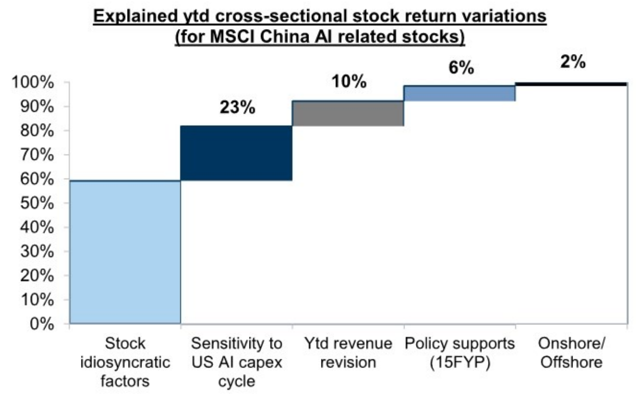
Exhibit 2: 35% of MSCI China is in 9 stocks that are broadly software related, which is hindering index performance

Large-Cap Chinese Tech Stocks in the MXCN			
Company Name	Index Cap (US$bn)	Index Cap (%)	YTD Return (USD)
Tencent	343	13%	-28%
Alibaba Group	262	10%	-15%
Xiaomi	63	2%	-27%
Meituan	50	2%	-25%
PDD Holdings (ADR)	50	2%	-23%
NetEase	44	2%	-10%
Baidu	34	1%	-3%
JD.com	33	1%	0%
Trip.com	28	1%	-32%
Large-Cap Tech Stocks	**907**	**35%**	**-22%**
MSCI China	**2,565**	**100%**	**-8%**

Note: Market cap as of Jun 1, 2026

Source: MSCI, FactSet, Goldman Sachs Global Investment Research

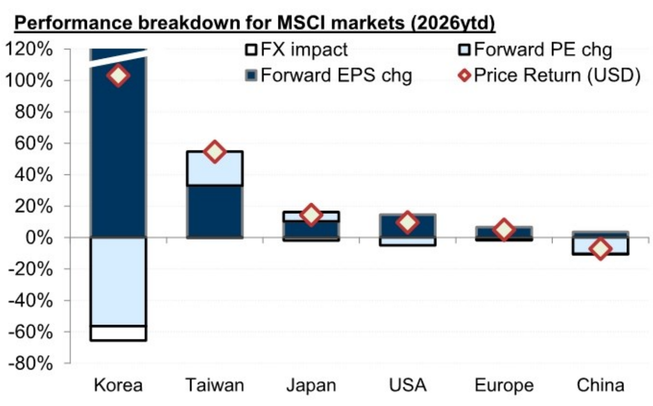
Exhibit 3: The following 4 factors have explained stock return variations quite well so far in 2026



Source: Goldman Sachs Global Investment Research

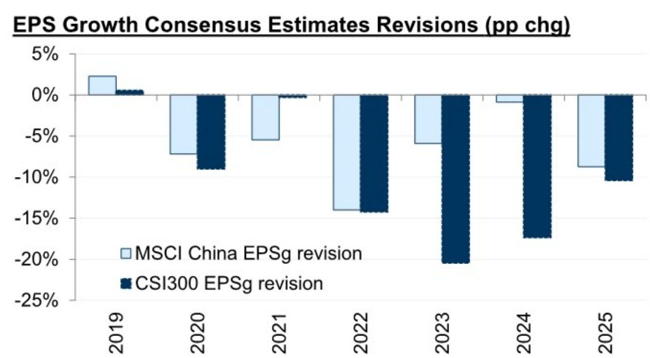
3. No earnings, no gains. Earnings growth has been the dominant driver of equity returns globally, with the ytd rallies in the US, Korean, Taiwanese, and Japanese markets all accompanied by strong profit realization and/or upgrades. In other words, **investors are rewarding actual profit delivery** but have limited appetite for earnings uncertainty and disappointments. This market dynamic has put China as the odd man out in the earnings-powered AI frenzy globally, with MSCI China lagging MXAPJ by 35pp ytd, the largest 5-month underperformance since 2002. As detailed in our 2026 China Equity Outlook, we called for a slower but more sustained market uptrend for China equities, predicated on a pro-market policy bias, inexpensive valuations, strong potential for money flows, and re-accelerating profit growth. The first three conditions have largely materialized or remained valid, but **corporate earnings have been sluggish**, growing merely 7% in 2025 for the entire listed universe and trailing below consensus expectations for 6 consecutive years.

Exhibit 4: The stellar returns in North Asian markets and the US have been mostly fueled by earnings growth and upgrades



Source: MSCI, FactSet, Goldman Sachs Global Investment Research

Exhibit 5: Chinese companies' realized profits have disappointed consensus forecasts in the post Covid era



Note: based on realized EPS growth (after FY reporting season) minus consensus estimates at the start of year

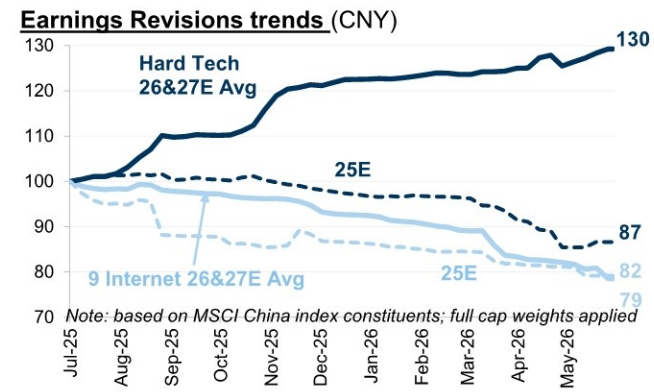
Source: MSCI, CSI, FactSet, IBES, Goldman Sachs Global Investment Research

4. Show me the profits. Lately, we have noted more signs that **the long-awaited earnings inflection point may be approaching**, with NBS industrial profits growing 18% yoy in the first 4 months of the year, the property market activity recovering in tier 1 cities, PPI officially ending its 41-month deflation cycle in March, and strong AI-related investment and demand domestically and abroad driving supply tightness and price reflation in certain pockets of the AI ecosystem. However, the earnings picture is a bit more nuanced in the equity universe—**we recently raised our 2026 EPS growth estimate for A shares** (from 16% to 20%) to account for higher commodity prices, resilient demand for Chinese exports, and a lower earnings base in 2025, but are fielding investor questions about the **continued (earnings) softness in the offshore market** where 1Q26 aggregate profits have declined 7% yoy (30% of index market cap has come in below market consensus) on underwhelming results by Internet large caps.

Exhibit 6: NBS industrial profits have historically been a good proxy for listed companies' earnings

Source: NBS, Bloomberg, FactSet, Wind, Goldman Sachs Global Investment Research

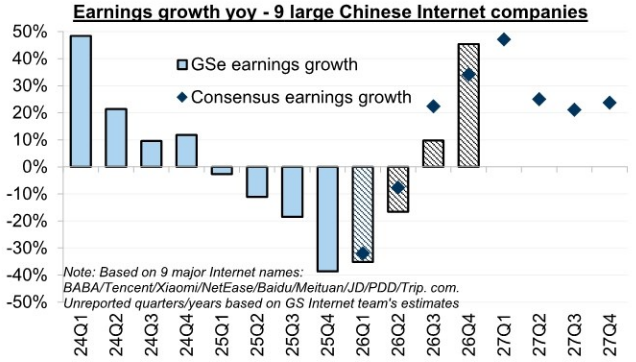
Exhibit 7: Internet/Soft Tech stocks have seen persistent downward earnings pressures in the past year



Source: MSCI, FactSet, IBES, Goldman Sachs Global Investment Research

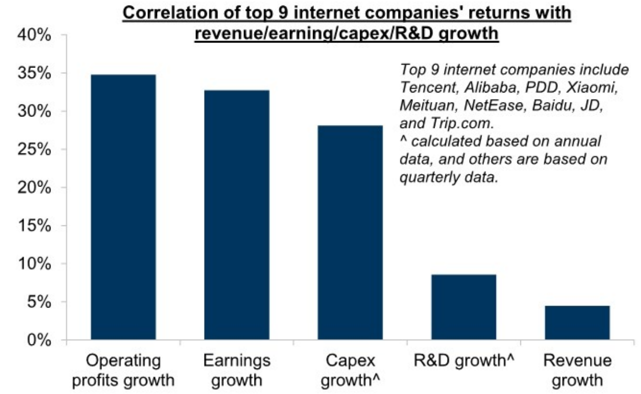
5. A delayed profit recovery for Internet/platform operators. The earnings drags from food delivery and quick commerce subsidies, which amounted to Rmb34bn in 1Q26 and to Rmb180bn cumulatively since 2Q25, have been more severe in magnitude and duration than we and many investors had initially anticipated. This, together with somewhat slower-than-expected AI monetization, has pressured Internet companies' near-term profit growth, **pushed back the expected earnings recovery path by about 3 to 6 months** than was priced at the beginning of this year, and weighed on their stock prices in recent months. Largely consistent with GS bottom-up and consensus estimates, we are still of the view that narrowing subsidy losses, fast-growing AI-related new opportunities (e.g. Cloud and agentic AI), and stable, cash-generating e-commerce businesses could help drive an earnings turnaround for the Internet heavyweights in the coming few quarters, albeit with a flatter recovery slope. Overall, incorporating the softer-than-expected FY25 and 1Q26 realized earnings and a weaker recovery trend for the Internet sector, we cut **our MSCI China EPS growth forecast for FY26 from 12% to 8% and from 14% to 12% for FY27.**

Exhibit 8: Profit growth momentum for offshore Internet could improve in 2H26 per GS and consensus expectations



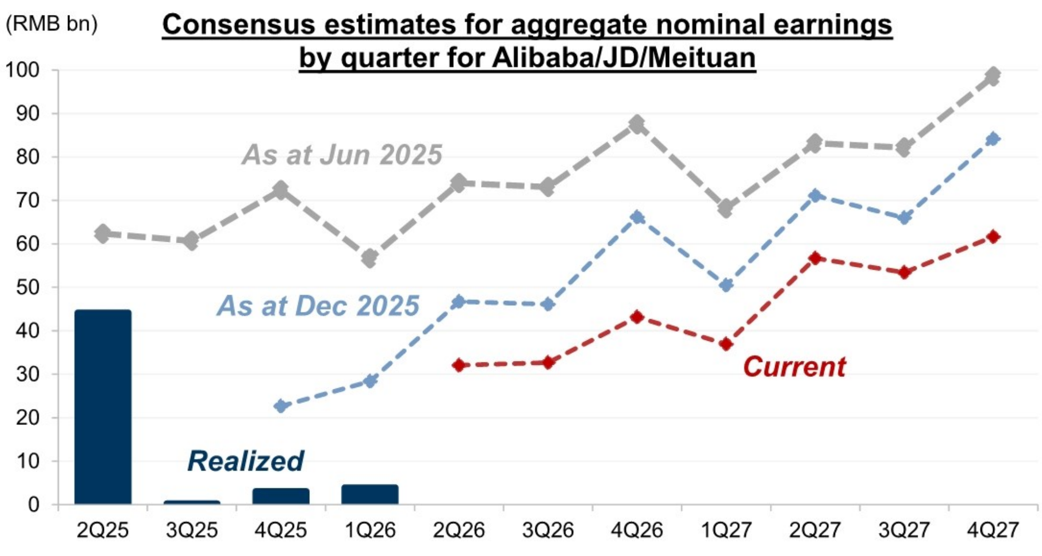
Source: MSCI, FactSet, Goldman Sachs Global Investment Research

Exhibit 9: Chinese big tech companies' returns are most sensititve to realized profit growth



Source: Wind, FactSet, Goldman Sachs Global Investment Research

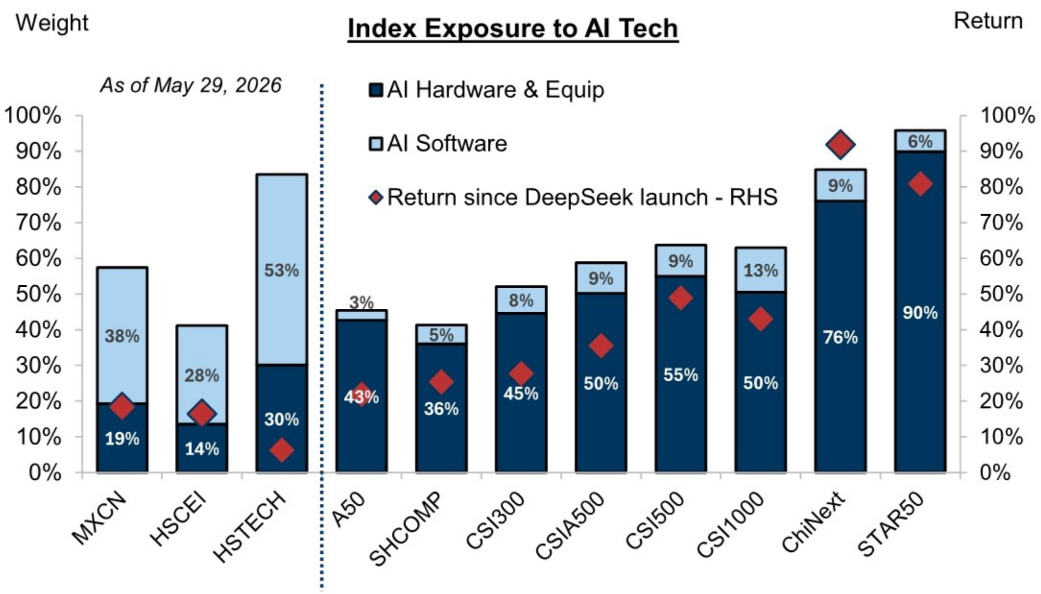
Exhibit 10: The subsidy losses in the food delivery market have been deeper and more prolonged than previously anticipated



Source: Goldman Sachs Global Investment Research

6. Plan "A" is playing out. As highlighted in our report—10 reflections so far on the Mideast oil shock—the A-share market has outperformed their H-share peers and some regional alternatives ytd in both absolute return and Sharpe ratio terms, showcasing its resiliency to external shocks and return idiosyncrasy in a global context. For the second time in the year, we raise our 12m target for CSI300 (from 5,300 to 5,500) largely on profit accruals and time roll, and **retain our Overweight stance on the onshore market**, owning to its improving profit growth momentum, conducive macro and market liquidity conditions, still-underappreciated diversification benefits to international investors, and compelling thematic exposures to Hard Tech AI proxies. The investment case for A shares would be even stronger for derivative users who might be able to extract additional cash returns by establishing long positions on small/mid caps given high funding value of the short inventory.

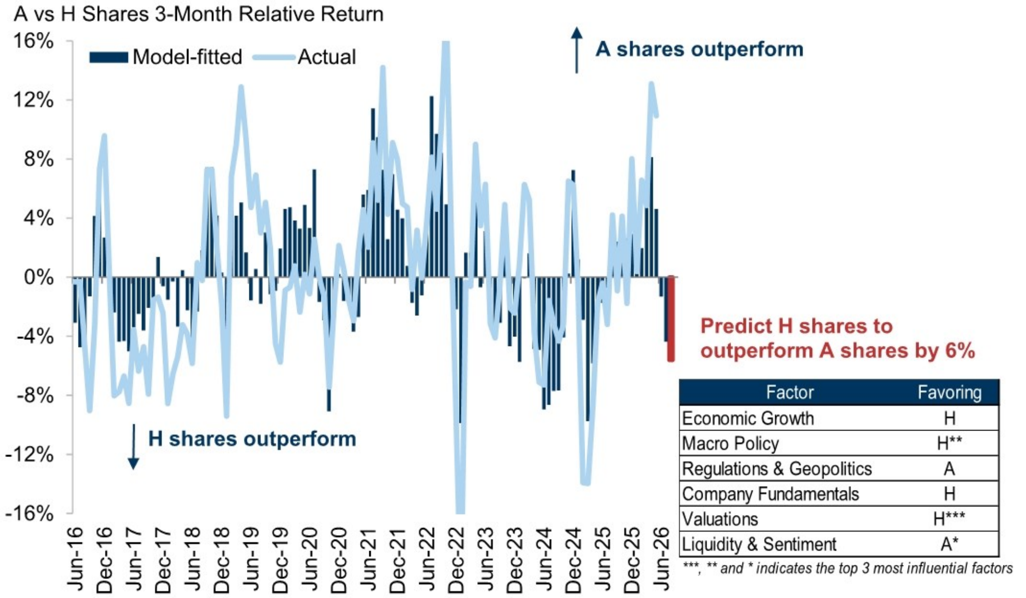
Exhibit 11: Indexes with higher AI Hardware exposures have outperformed in the past year



Source: FactSet, MSCI, HSI, CSI, Goldman Sachs Global Investment Research

7. Plan "H" needs more patience from investors. The delayed profit recovery should reduce the intrinsic value of H shares via a lower earnings base, a flatter slope of earnings accrual, and compression of fair multiples due to higher earnings risks. Our refreshed EPS growth (8%/12% for 26/27E) and equilibrium target PE (12x, down from 13x) forecasts still imply **11% potential gains for MSCI China in the next 12 months**, and we are confident that the relative return gaps between H and A shares will narrow in 2H26 on mean reversion and valuation arguments as suggested by our A-H rotation model. But, the timing of such a turn and return realization is largely predicated on the profit turnaround; and with other North Asian markets offering cyclically superior earnings growth momentum and visibility, **the "opportunity cost" for staying Overweight on H shares has gone up**. We would prefer to engage the market via specific alpha themes (see #10) and/or to revisit the beta case later this year when our expected profit growth trajectory takes hold, probably around 3Q26. **Hence, we lower MSCI China to Marketweight** in a regional context.

Exhibit 12: H shares may close the underperformance gaps with A shares when profits shore up later this year

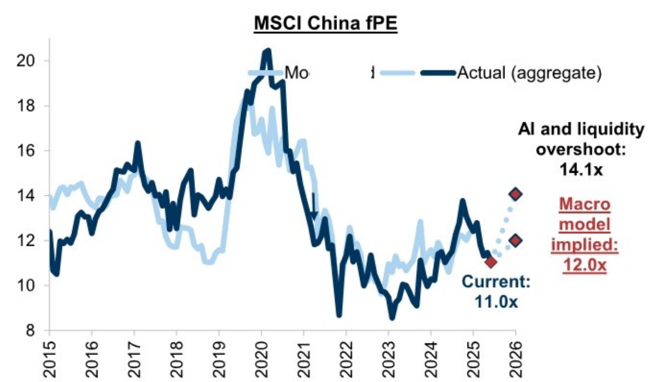


Factor	Favoring
Economic Growth	H
Macro Policy	H**
Regulations & Geopolitics	A
Company Fundamentals	H
Valuations	H***
Liquidity & Sentiment	A*

***, ** and * indicates the top 3 most influential factors

Source: Wind, FactSet, Goldman Sachs Global Investment Research

Exhibit 13: Our PE target is lowered to 12x (from 13x) on delayed profit recovery



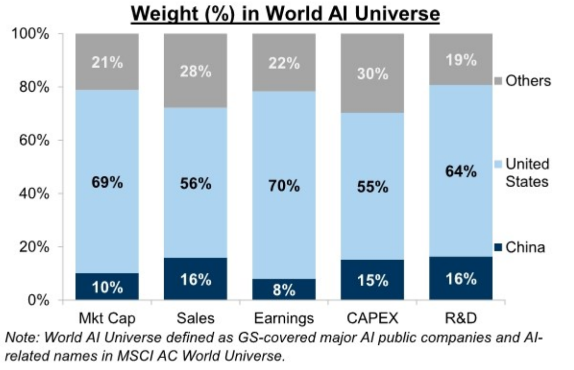
Source: MSCI, FactSet, Goldman Sachs Global Investment Research

Exhibit 14: We forecast 11% 12m returns for MSCI China, which will likely transpire towards the end of the year when profit growth momentum potentially improves

Source: MSCI, FactSet, Goldman Sachs Global Investment Research

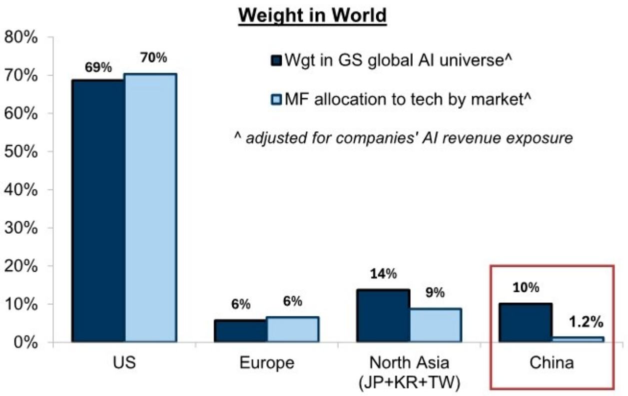
8. AI is still a "game changer". AI has continued to evolve at an incredible pace in China where more milestones have been achieved since the DeepSeek moment more than a year ago—the proliferation of agentic AI applications on the back of the "Openclaw" frenzy, the explosive growth of AI token usage by Chinese models globally, and the reported breakthroughs of foundational technology in semiconductor design/manufacturing by Huawei in the past weeks. All these developments help bolster our view that: a) **China is an integral part of the global AI universe**, accounting for 10%/16% of AI-related market cap/revenue worldwide, although China AI equities are substantially under-owned by investors; b) **China AI as a whole is far from a bubble**, and not investing in AI could also be a risk for fundamental and policy reasons; and, c) **AI is not a unified investment theme,** as evidenced by the wide return dispersion and relatively low return correlations among key AI layers along the value-added chain.

Exhibit 15: China is an integral part of our defined global AI universe



Source: FactSet, MSCI, Goldman Sachs Global Investment Research

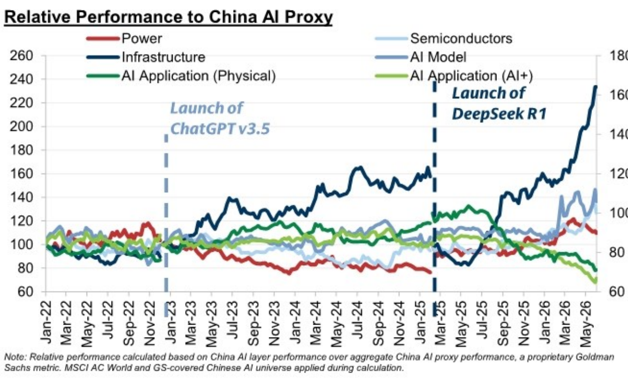
Exhibit 16: Investors with a global mandate are significantly underweight Chinese AI stocks



Source: EPFR, FactSet, Goldman Sachs Global Investment Research

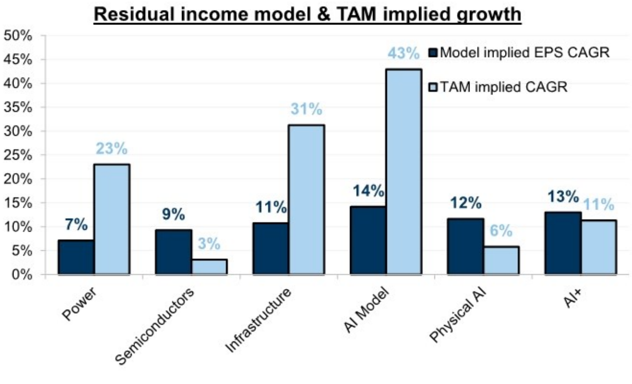
9. Stay Hard or go Soft? Strong cyclical growth prospects, policymakers' pursuit of technological self-sufficiency, and China's competitive and comparative advantages in the high-tech manufacturing segments globally are the key anchors to our **strategically positive view on the Power, Infrastructure, Semi, and Physical AI cohorts** within the Chinese listed AI universe. Semi, led by IC design firms and foundries, has re-rated and is trading at fairly rich valuations versus its international peers and relative to its long-term TAM growth potential, suggesting to us that more favorable risk/reward could lie in other Hard Tech AI proxies. At the other end of the spectrum, **not all Soft Tech stocks have lagged**. Models, for example, have traded well this year on rising ARR, global expansion, and high scarcity value in the public market, and could remain a key area for alpha hunting. The AI Applications cohort, most notably the Internet sector, has recently bounced on better newsflows and suppressed valuations. But again, **profit growth will be the key to sustain the re-rating** and the upcoming reporting season (mid-to-late August) would be key event to watch.

Exhibit 17: Chinese AI Infra names have generally led since Nov-22 and Jan-25 , while Power and Model have begun to catch up as new IPOs come to to the public market



Source: FactSet, Goldman Sachs Global Investment Research

Exhibit 18: The market-implied growth expectations in Power, Infra, and Model seem somewhat conservative relative to industry growth potential



Source: Goldman Sachs Global Investment Research

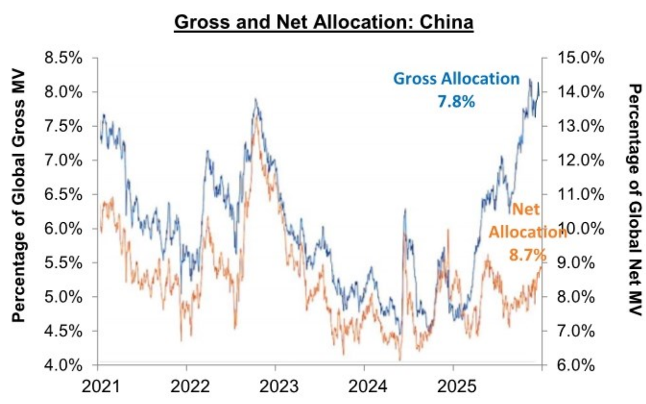
Exhibit 19: The valuation/growth profile for Power and Infra looks attractive in a global AI context

	26E P/E (x)			26E P/B (x)			26E PEG (x)			27E EPSg		
	China	US	Others	China	US	Others	China	US	Others	China	US	Others
Power	22.4	37.1	32.1	2.9	9.9	4.7	0.9	2.8	1.6	25%	13%	20%
Semiconductors	44.9	28.7	16.9	5.2	11.4	5.9	1.3	0.7	0.5	35%	42%	31%
Infrastructure	36.5	34.0	20.6	8.0	8.5	4.9	0.8	0.8	0.8	43%	24%	26%
AI Model	16.1	29.9	-	2.3	9.6	-	0.8	3.0	-	19%	10%	-
Physical AI	34.3	38.3	25.8	2.8	15.8	3.4	0.7	3.3	0.6	46%	12%	46%
AI+	15.3	26.6	21.2	2.2	7.9	3.5	0.9	2.3	1.4	16%	12%	16%
Aggregate AI Universe	**25.7**	**28.7**	**19.1**	**3.6**	**9.4**	**5.2**	**0.9**	**1.1**	**0.6**	**27%**	**26%**	**29%**

Source: FactSet, IBES, Goldman Sachs Global Investment Research

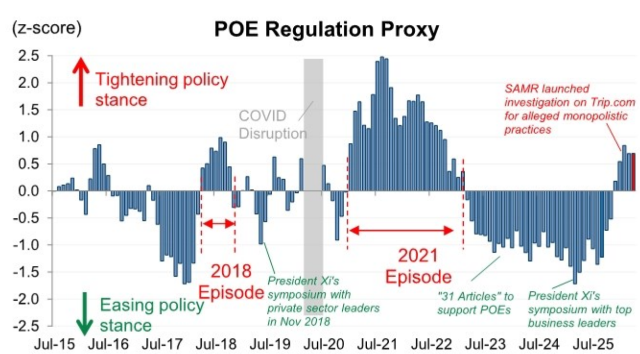
10. Alpha over beta. The significant stock dispersion beneath the index level reinforces our long-held view that **alpha opportunities are plentiful in the offshore market**, partly reflected by the rising gross allocation (but stable net exposures) by hedge funds there per GS Prime Brokerage statistics. In A shares, active retail participation, ample market liquidity, and still-developing sell-side stock coverage imply that it remains **a fertile ground for stock pickers**. Among the key themes we have advocated in the past year, we feel most positive about our **Select AI Portfolio**, which gives investors balanced exposures along the extended AI value chain, our **15th FYP Portfolio** as a vehicle to trade structural policy tailwinds in the high-growth, mid-cap universe, and the **Shareholders Return theme** which has generated strong volatility-adjusted returns. **GS Prom 10 Portfolio** has been a laggard, given its Soft-Tech orientation and marginally tighter regulatory stance in several POE-heavy sectors. For the reasons discussed above, this trade may regain traction later this year when earnings come through as we currently project. Sectorally, **we neutralize our OW stance on Media to fund our upgrade of Capital Goods,** consistent with our overall thematic preferences.

Exhibit 20: Global hedge funds' gross allocation to China has risen faster than their net exposures, suggesting stronger bias for alpha trading



Source: Goldman Sachs FICC and Equities and Prime Services data as of May 26

Exhibit 21: Our news search-based proxy indicates that policy towards POEs is now in a slightly restrictive zone



Note: POE Regulation Proxy reflects the text-mining results of news among POE-heavy sectors. Data points during Mar-Jun 2020 have been removed due to COVID disruptions. The latest bar shows the reading of Apr 2026

Source: Factiva, MSCI, Goldman Sachs Global Investment Research

Exhibit 22: Policy (support) and AI are the two factors underpinning our preferred investment themes in the China equity universe

Source: FactSet, Goldman Sachs Global Investment Research

Exhibit 23: Sectorally, we neutralize our OW stance on Media to fund our upgrade of Capital Goods, consistent with our overall thematic perferences.

Allocation	MSCI China industry groups	Weight in MSCI China (%)	26 Perf	25-27E EPS CAGR	26E P/E (X)	26E P/B (X)	26E PEG	Policy sensitivity ^	Growth sensitivity ^^	Valuation z-score^^^	Overseas revenue % ^^^^	MF Positioning (bp)^^^^^
Overweight	Retailing	14.3	-15%	25%	15.4	1.7	0.4	50%	24%	0.0	6%	17
	Tech Hardware	7.8	12%	24%	25.8	3.4	0.8	10%	92%	1.4	44%	-62
	Materials	5.5	-6%	43%	10.7	2.0	0.9	50%	76%	0.0	18%	2
	Insurance	4.9	-8%	3%	6.1	0.9	0.6	20%	80%	-0.5	0%	-32
	Capital Goods	4.3	16%	28%	14.5	1.5	0.8	90%	56%	1.8	12%	2
Marketweight	Media	17.8	-25%	13%	12.8	2.2	0.9	50%	8%	-1.1	6%	17
	Banks	12.0	5%	8%	5.9	0.5	0.8	30%	32%	1.6	8%	-155
	Health Care	4.7	-4%	17%	26.4	2.9	1.2	80%	36%	-0.4	28%	-8
	Consumer Svcs	4.5	-23%	52%	25.9	2.0	0.2	50%	84%	-0.4	1%	-17
	Autos	4.5	-8%	63%	19.3	2.2	0.4	5%	68%	-0.7	21%	-30
	Energy	3.6	22%	18%	10.5	1.1	4.9	30%	72%	1.8	21%	-44
	Semis	2.8	40%	-	92.3	4.1	1.0	50%	96%	2.3	22%	-62
	Utilities	2.0	5%	5%	11.3	1.0	1.6	80%	16%	1.1	7%	-26
	Div Financials	1.8	-12%	17%	9.0	0.8	0.8	50%	88%	0.0	9%	-32
Underweight	Food Bev	2.5	-7%	23%	16.2	2.8	0.8	30%	64%	-0.9	3%	6
	Consumer Durables	1.7	-8%	13%	11.2	1.9	0.9	10%	20%	-1.1	41%	-34
	Real Estate	1.7	14%	22%	14.6	0.7	0.7	90%	52%	2.6	0%	-7
	Transportation	1.6	1%	7%	12.1	1.2	1.3	30%	44%	0.7	49%	8
	Telecom	0.3	-13%	19%	10.9	0.7	1.4	-	28%	-1.9	0%	-3

Note: ^based on overall score of policy scorecard, higher score indicates higher sensitivity to policy easing across 5 dimensions - financial condition, macro, property, and regulation; ^^based on monthly relative return (to MXCN) sensitivity vs. CAI growth (mom change on qoq); ^^^z-score vs. 5-year historical average; ^^^^based on MSCI China companies with available revenue by geography data; ^^^^^based on allocation in top Asia/EM funds as of Apr 30, 2026

Source: FactSet, MSCI, Factiva, EPFR, Goldman Sachs Global Investment Research

Appendix

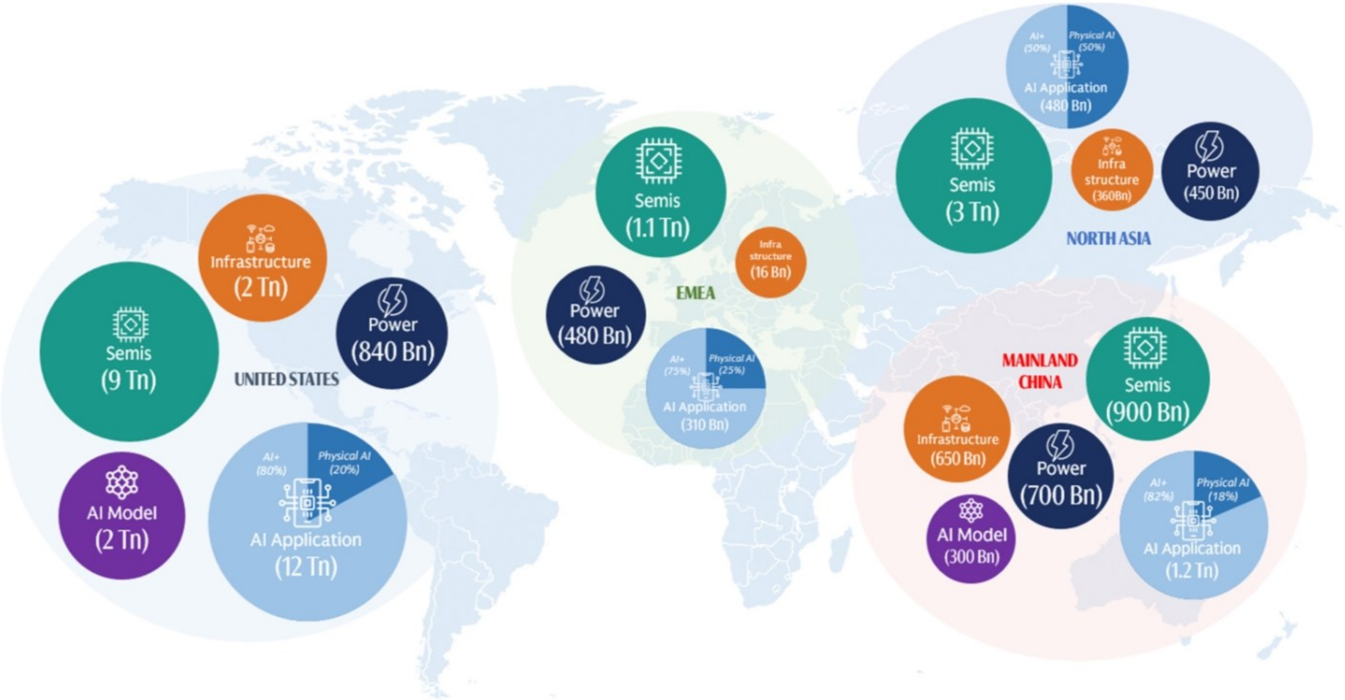
Exhibit 24: We map more than 3,700 AI companies globally onto 29 industries under 5 thematic layers, thereby forming our AI equity universe

Top Companies by Industry-Exposed Market Cap			Mainland China			United States			Others		
Layer		**Industry**	**1**	**2**	**3**	**1**	**2**	**3**	**1**	**2**	**3**
Power		Power Generation	CATL	Sungrow	CNNC	Tesla	GEV	CAT	Hitachi	Siemens Energy	MHI
		Grid Transmission	Sieyuan	TEBA	Huaming	Quanta	Hubbell	GEV	ABB	Legrand	Prysmian
		Data Center Power	Kstar	Kehua	Megmeet	Vertiv	CAT	Eaton	Delta	Lite-on	Schneider
Semiconductors		SPE	NAURA	AMEC	Piotech	Lam Research	AMAT	KLA	ASML	TEL	Advantest
		Software	Verisilicon	Empyrean	Brite Semi	Synopsys	Cadence	Siemens EDA	Hitachi	Constellation	Dassault
		Materials	Kematek	SICC	Anji	Linde	Air Products	Honeywell	Air Liquide	Shin-Etsu Chemical	Siemens
		IC Design	Cambricon	Moore Threads	MetaX	NVIDIA	Broadcom	AMD	MediaTek	Realtek	ASPEED
		IDM ex-Memory	OmniVision	CR Micro	Silan Micro	Intel	TI	Analog	Sony	Infineon	NXP
		Memory	Montage	GigaDevice	Biwin	Micron	Western Digital	Sandisk	SK hynix	Samsung	Kioxia
		Foundry	SMIC	Hua Hong	Nexchip	Intel	GFS	Skywater	TSMC	UMC	Vanguard
		OSAT *(Packaging and Testing)*	JCET	Tongfu Micro	Tianshui Huatian	Amkor	QP Technologies	Cohu	ASE	Powertech	King Yuan
Infrastructure		PCB/CCL	VGT	Avary	WUS	TTM	Rogers	Sanmina	GCE	Ibiden	SEMCO
		Optical Transceivers	Innolight	Eoptolink	TFC	Coherent	Lumentum	Fabrinet	Hon Hai	Mitsubishi Elec	Landmark
		Cooling	Envicool	Shenling	Goaland	Vertiv	Flex	nVent	Schneider	Delta Electronics	AVC
		Servers and Support	FII	TFC	Inspur	HPE	DELL	SMCI	Hon Hai	Wiwynn	Fujikura
		Data Center	GDS	Kingsoft Cloud	VNET	Equinix	Digital Reality	CyrusOne	NTT	NEXTDC	
AI Model		LLM, Multimodal & Specialized	DeepSeek	Alibaba	Bytedance	OpenAI	Anthropic	Google	Mistral AI	Aleph Alpha	Sarvam AI
			Minimax	Zhipu	Moonshot	xAI	Meta	Cohere			
AI Application	Physical	Autonomous Driving	Horizon Robotics	Hesai	PonyAI	Tesla	Uber	Aptiv	Samsung	Mercedes-Benz	Grab
		Humanoid Robots	Sanhua	Tuopu	UBTech	Tesla	Agility Robotics	Boston Dynamics	Softbank (ABB)	Yaskawa Electric	Fanuc
		Consumer Hardware	Xiaomi	Insta 360	ZTE	Apple	Meta	Garmin	Samsung	Sony	Kyocera
		Satellites	China Satcom	AECC	China Spacesat	SpaceX	Rocket Lab	Viasat	Eutelsat	SES	Hanwha
	Digital / AI+	Entertainment & Media	Tencent	Netease	Giant Network	Microsoft	Amazon	Meta	Sony		
		Image & Video	Meitu	Wondershare	Bytedance	Adobe	Google	OpenAI	Canva	Blackmagic	
		E-commerce	Alibaba	PDD	JD.com	Amazon	MercadoLibre	eBay	Prosus	Sea	Naspers
		Consumer Services	Alibaba	Meituan	Baidu	Airbnb	DoorDash	Uber	Kakao	Recruit	Naver
		Healthcare	JD Health	Winning Health	BGI	ResMed	IDEXX	Illumina	Pro Medicus	Philips	Medibank
		Business Services	BlueFocus	Lenovo	Tencent	Oracle	Omnicom	ServiceNow	SAP	Publicis	TCS
		Finance	Tencent	Hundsun	RoyalFlush	Intuit	Mastercard	Visa	Sage	Adyen	Xero
		AI Platform & Software	Tencent	Alibaba	Baidu	Google	Apple	Microsoft	SAP	Recruit	Atlassian
		Education	New Oriental	iFLYTEK	TAL	Alpha School	Khan Academy		Pearson	Nebius Academy	Kahoot

Note: *Ranked by estimated industry-exposed market cap through RBICS AI-related revenue exposure as of 2024, market cap data as of Feb 16, 2026. Global AI universe with leading private AI companies applied.

Source: FactSet, Data compiled by Goldman Sachs Global Investment Research

Exhibit 25: The US and North Asian tech companies are leading in the Semi and Model cohorts, but China AI opportunities seem better populated in Power, Infrastructure, and Physical AI



Note: Universe includes MSCI AC World, GS-covered leading Global AI companies, and leading private companies.

Source: FactSet, Goldman Sachs Global Investment Research

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Reg AC

We, Kinger Lau, CFA, Timothy Moe, CFA, Si Fu, Ph.D. and Kevin Wang, CFA, hereby certify that all of the views expressed in this report accurately reflect our personal views, which have not been influenced by considerations of the firm's business or client relationships.

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